

Penalties for late SSS / PhilHealth / Pag-IBIG remittance

These are **employer/self-payor penalties**, computed from the due date until the contribution is actually paid.

Agency	Penalty for late payment	Legal basis
SSS	2% per month, simple interest, on the unpaid amount (some sources still cite the older 3%/month figure — SSS reduced this under recent circulars)	RA 11199, Sec. 22(a)
PhilHealth	2–3% per month, generally treated as compounding	RA 11223 (UHC Act), Sec. 9
Pag-IBIG	1/10 of 1% per day of delay ($\approx 3\%$ /month) on unpaid contributions	RA 9679, Sec. 23(b)

On top of the civil penalty, there's criminal exposure if an employer deducted contributions from employees but didn't remit them:

- **SSS**: fine of ₱5,000–₱20,000 and/or imprisonment of 6 years 1 day to 12 years
 - **Pag-IBIG**: imprisonment up to 6 years and/or a fine of 1–2x the amount involved
 - **PhilHealth**: fine of ₱5,000–₱10,000 per affected employee and/or imprisonment of 6 months to 6 years
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- **SSS, PhilHealth, and Pag-IBIG penalties** generally apply regardless of whether the employer is a BMBE, sole proprietor, or other business type.
 - Unlike BIR tax penalties, these agencies generally **do not provide special penalty discounts for small businesses**.
 - For **employers with employees**, late or non-remittance of contributions may result in applicable penalties.
 - For **self-employed or voluntary members**, missed contributions generally affect their contribution record rather than result in an employer remittance penalty.

BIR penalties for late filing (surcharge, interest, compromise)

The **general framework** (NIRC Secs. 248, 249, 255) has three layers that stack on top of the basic tax due:

1. **Surcharge**: 25% of the tax due (50% if fraud/willful neglect)
2. **Interest**: 12% per annum, computed daily on the unpaid tax from the due date until paid

3. **Compromise penalty:** a fixed amount (roughly ₱1,000–₱50,000+) scaled to the tax due or gross sales, per RMO 7-2015

If there's zero tax due (e.g., a "no operation"/zero-income return filed late), only the compromise penalty applies — no surcharge, no interest, since both are computed on unpaid tax.

MICRO

- **GROSS SALES:** 3M TO LESS THAN 20M
- **SURCHARGE:** 10% REDUCED
- **INTEREST:** 6% P.A (HALVED)

- **BMBE:** Generally qualifies as a **micro taxpayer** due to the ₱3M asset limit. May qualify for reduced late-filing penalties of **10% surcharge + 6% interest**. BMBE income tax exemption does not cover VAT/percentage tax or late-filing penalties.
- **Pure Business/Professional:** Classification is based on **gross sales/receipts**. Those within the micro/small threshold may qualify for the **10% surcharge + 6% interest** rate.
- **Mixed Income Earner:** The classification and penalties apply to the **business/professional income**. Withholding taxes on compensation are generally the employer's responsibility.
- **Business Owner with Employees:** Regular business tax penalties apply to the business. As an employer, additional penalties may apply for **late withholding-tax remittance** and late **SSS, PhilHealth, and Pag-IBIG contributions**.